

packaged goods companies,” she says. Although a Diageo-owned company, it was yet to get out of the woods; Nagarajan had a tough job on her hands. Diageo acquired United Spirits from the flamboyant Vijay Mallya, a liquor baron who crash-landed in debt after his aviation venture ran into trouble. Mallya is out of the picture and left the country in 2016.

Nagarajan, Diageo India’s second MD after Anand Kripalu since its 2014 acquisition of United Spirits, found herself with an impressive brand portfolio that was struggling for traction. France’s Pernod Ricard, with brands such as Imperial Blue, Royal Stag and Blenders Pride, had been investing heavily and growing at the expense of Diageo. Pernod India’s revenue had grown from ₹8,730 crore in FY14 to almost ₹19,500 crore in 2021 when Nagarajan joined Diageo and surveyed her rivals. (Pernod India reported a turnover of ₹25,039 crore in

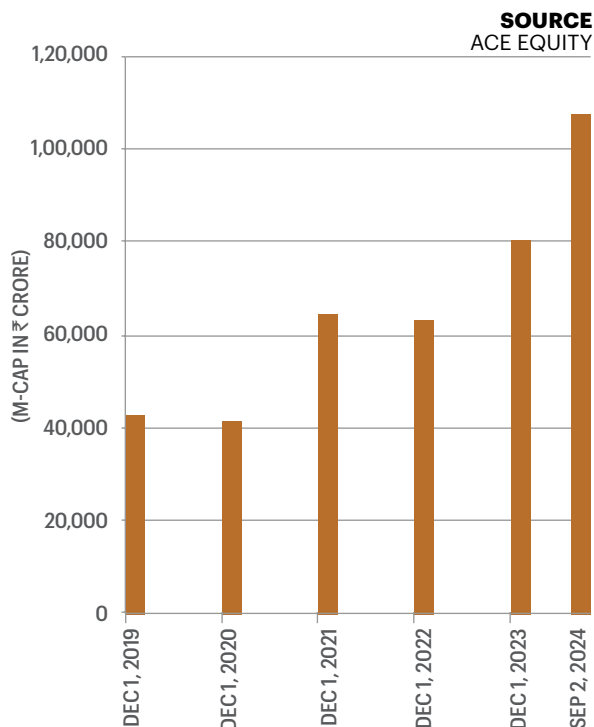
FY24). Other key players in the spirits market include Radico Khaitan (which owns Rampur and 8PM whisky brands, Magic Moments vodka, and Morpheus brandy), and Allied Blenders and Distillers, which owns whisky brands such as Officer’s Choice and Sterling Reserve.

Diageo set some targets for its Indian subsidiary, Diageo India. “We had to be the most trusted company with sustained double-digit growth and mid to high teen margins. Plus, we had to deliver value to all our stakeholders, be it our investors, employees, consumers and our communities,” says Nagarajan. The stock had not had it easy, and uncertainty on the way forward troubled the investor community. When Nagarajan took the helm in mid-2021, Diageo India’s market capitalisation was around ₹46,000 crore. On September 5, it was ₹1,07,135.14 crore.

She has made some hard decisions, like taking a close

BETTER DAYS

► A surge in the company’s market capitalisation has enthused investors ► Innovation, with interesting product launches, is expected to work well



DIAGEO’S POWER BRANDS

► A large portfolio reduces dependence on a small set of brands ► A younger population emerging is a positive for consumption

REVENUE OF MORE THAN ₹1,000 CRORE

- McDowell’s
- Royal Challenge
- Johnnie Walker

REVENUE OF MORE THAN ₹500 CRORE

- Signature
- Black Dog
- Black & White

SALES OF OVER ONE MILLION CASES*

- McDowell’s No. 1
- Royal Challenge
- Johnnie Walker
- Black Dog
- Black & White
- Signature
- DSP Black

NOTE *ONE CASE IS 12 BOTTLES OF 750 ML EACH OR 9 LITRES IN TOTAL; ANNUAL FIGURES

SOURCE FY24 INVESTOR PRESENTATION

